

B.COM. (ACCOUNTING & FINANCE) · SEMESTER V

Corporate Financial Reporting – I

Practical Question Bank with Detailed Solutions

Module 3: Ind AS 2 – Inventories

10 practical questions · Single, dual and multi-concept

HOW THIS QUESTION BANK IS BUILT

Level	What it tests	Questions	Marks
Level 1	Single concept: one rule at a time	Q1–Q3	5 each
Level 2	Two concepts combined in one problem	Q4–Q6	8–10 each
Level 3	Multi-concept, university exam pattern with sub-parts (5+5+5, 8+7)	Q7–Q10	15 each

HOW TO USE IT

- Attempt each **problem first** on your own. Then read the solution.
- Every solution has **step-by-step working tables** and journal entries wherever the standard needs them.
- The blue “**Why?**” box explains the logic in plain words. The amber “**Watch out**” box lists common mistakes and exam tips. The green box gives the **final answer** for quick checking.
- Use the **concept coverage map** to revise a specific topic. Use the **quick-reference sheet** just before the exam.

GROUND RULES FOR ALL QUESTIONS

- Amounts are in ₹. The financial year runs from 1 April to 31 March.
- GST is **recoverable** (input tax credit available) unless a question says otherwise. Income tax and deferred tax are ignored.
- Depreciation for part of a year is charged **month-wise**, from the date the asset is available for use to the date of disposal.
- Each question follows Ind AS as notified in India. Where Ind AS differs from IFRS, a note says so.

Index of Questions

Q	Level	Marks	Topic	Concepts tested
1	L1	5	Cost of purchase	Cost of purchase, trade discounts, recoverable taxes
2	L1	5	Lower of cost and NRV	NRV formula, item-by-item write-down
3	L1	5	Scope and definition	Inventory definition, exclusions, exemptions
4	L2	8	Conversion cost	Normal capacity, abnormal waste, expense recognition
5	L2	10	Raw materials NRV	Replacement cost, write-down, reversal
6	L2	10	Deferred settlement	Interest element, cost of purchase, journals
7	L3	15	Joint and by-products	NRV at split-off, by-product credit, closing stock
8	L3	15	Stock count roll-back	Cut-off, ownership, consignment, NRV
9	L3	15	Cost techniques	Retail method, standard cost, service providers
10	L3	15	Expense and disclosure	Write-down, reversal, PPE transfer, note

Concept Coverage Map

Ind AS 2 concept	Questions
Definition, scope, exclusions and exemptions	3
Cost of purchase and costs excluded from cost	1, 4, 6, 9
Cost of conversion, normal capacity, abnormal waste	4, 7
Joint products and by-products	7
Inventories on deferred settlement terms	6
Service providers' inventories	9
Cost techniques: standard cost, retail method	9
NRV and lower of cost and NRV	2, 5, 7, 8, 10
Raw materials, replacement cost, reversal of write-down	5, 10
Ownership, cut-off and stock count adjustments	8
Recognition as expense and disclosures	4, 10

Quick Reference – Ind AS 2 Inventories

Core rule: inventories are measured at the **lower of cost and net realisable value (NRV)**.

Included in cost	Excluded from cost (expense in the period)
Purchase price, import duties and non-recoverable taxes, freight inwards, handling	Abnormal wastage, abnormal labour or other production costs
Less: trade discounts, rebates and similar items	Storage costs (unless needed in the production process)
Direct labour, direct materials, variable production overheads	Administrative overheads that do not help bring inventory to its condition and location
Fixed production overheads absorbed on normal capacity	Selling costs; recoverable taxes (GST input credit)
Other costs incurred in bringing inventory to present location and condition	Interest element in deferred settlement purchases

Topic	Rule to remember
NRV	Estimated selling price – estimated cost of completion – estimated cost to make the sale
Techniques	Standard cost or retail method may be used if the result approximates cost
Joint products	Allocate joint cost on a reasonable and consistent basis (for example relative NRV); by-product NRV may be credited to joint cost
Write-down	Item by item. Expense in the period of write-down
Reversal	If NRV recovers, reverse, limited to the original write-down. Credit reduces expense
Materials	Not written down below cost if the finished goods will sell at or above cost
Expense recognition	Carrying amount is an expense when the related revenue is recognised
Disclosures	Accounting policy and cost formula; carrying amount by classification; amount recognised as expense; write-downs; reversals and reasons; amount pledged as security; inventories at fair value less costs to sell
Outside scope	Construction contract WIP (Ind AS 115), financial instruments, biological assets and produce at harvest (Ind AS 41). Measurement exemptions: producers (NRV), commodity broker-traders (fair value less costs to sell)

Module 3 · Ind AS 2 – Inventories

This module practises measurement of inventories at the **lower of cost and net realisable value (NRV)**, cost of conversion, joint and by-products, deferred settlement, expense recognition, reversal of write-downs and disclosures.

Level 1 (Q1–Q3) drills one concept at a time. **Level 2** (Q4–Q6) joins two concepts. **Level 3** (Q7–Q10) mixes several concepts in 15-mark exam-style questions with sub-parts.

LEVEL 1 – SINGLE CONCEPT PRACTICE (Q1 to Q3)

Q1. Cost of Purchase – what goes into inventory cost?

Level 1 · Single concept | **5 marks** | Concepts tested: cost of purchase, trade discount and rebate, recoverable taxes, costs excluded from inventory

PROBLEM

Vinayak Foods Ltd. purchased **1,000 units** of raw material for use in production. The following information is available:

No.	Particulars	₹
1	List price ₹500 per unit × 1,000 units	5,00,000
2	Trade discount of 10% on list price (shown on the invoice)	—
3	Volume rebate receivable from the supplier at year-end on these units	10,000
4	GST @ 18% on the net invoice value (full input tax credit is available)	—
5	Non-refundable purchase taxes (entry tax)	12,000
6	Freight inwards	15,000
7	Transit insurance	8,000
8	Loading and unloading at the factory gate	5,000
9	Storage cost in own warehouse after receipt (not needed for production process)	10,000
10	Allocated administrative overheads of the purchase department	7,000

Required: (a) Compute the cost of the raw material to be recorded as inventory and the cost per unit. (b) State the treatment of the items that are left out.

SOLUTION

Step 1 – Deduct trade discounts and rebates from the price, then add every cost needed to bring the material to its present location and condition

Particulars	₹
List price (1,000 × ₹500)	5,00,000
Less: Trade discount 10%	(50,000)
Less: Volume rebate	(10,000)
Net purchase price	4,40,000
Add: Non-refundable purchase taxes	12,000
Add: Freight inwards	15,000
Add: Transit insurance	8,000
Add: Loading and unloading	5,000
Cost of inventories	4,80,000
Cost per unit (₹4,80,000 ÷ 1,000 units)	480

Step 3 – Items left out of cost (part b)

Item	₹	Treatment
GST @ 18% on ₹4,50,000	81,000	Not a cost. It is recoverable, so it is a receivable (input tax credit) from the government.
Storage cost after receipt	10,000	Expense in the period. Storage is a cost only when it is necessary in the production process itself.
Administrative overheads	7,000	Expense in the period. They do not help bring the inventory to its present location and condition.

Final answer

Cost of inventories = **₹4,80,000** (₹480 per unit).

Why? – Simple explanation

Inventory is recorded at what the business really spends to get the goods **ready and in place**. Trade discounts and rebates reduce what you effectively pay, so they reduce cost.

Freight inwards, transit insurance, loading and non-refundable taxes are all part of getting the goods to your factory, so they add to cost.

GST that you can claim back is not your cost at all; the government owes it to you. Storage and admin overheads are costs of running the business, not costs of making the goods available.

Watch out – Common mistakes / Exam tip

- Do not add recoverable GST to cost. If the tax were **not** recoverable (for example a blocked credit), it would be added.
- Deduct the discount before adding the other items.
- Volume rebates are deducted even if received after the year-end, provided they relate to these units and are reasonably estimable.

Q2. Net Realisable Value – Lower of Cost and NRV

Level 1 • Single concept | 5 marks | Concepts tested: NRV formula, item-by-item comparison, write-down

PROBLEM

Sagar Enterprises has four products in inventory at 31 March 2026:

Product	Cost (₹)	Est. selling price (₹)	Est. cost to complete (₹)	Est. selling costs (₹)
A	1,20,000	1,50,000	10,000	8,000
B	2,00,000	2,10,000	15,000	10,000
C	90,000	1,00,000	0	12,000
D	1,50,000	1,40,000	5,000	6,000

Required: Compute the value at which inventory is shown in the balance sheet and the total write-down. Also show why inventory should not be compared in total.

SOLUTION

Step 1 – NRV = Estimated selling price – Estimated cost of completion – Estimated cost to make the sale

Step 2 – Compare cost with NRV for each product separately and take the lower

Product	Cost	Selling price	Cost to complete	Selling costs	NRV	Lower of cost & NRV	Write-down
A	1,20,000	1,50,000	10,000	8,000	1,32,000	1,20,000	—
B	2,00,000	2,10,000	15,000	10,000	1,85,000	1,85,000	15,000
C	90,000	1,00,000	0	12,000	88,000	88,000	2,000
D	1,50,000	1,40,000	5,000	6,000	1,29,000	1,29,000	21,000
Total	5,60,000				5,34,000	5,22,000	38,000

Step 3 – Journal entry

Particulars	Dr (₹)	Cr (₹)
Inventory write-down (Profit & Loss) A/c	38,000	
To Inventories A/c		38,000
<i>(Being inventories written down to NRV: B ₹15,000, C ₹2,000, D ₹21,000)</i>		

Final answer

Inventory is shown at **₹5,22,000** and the write-down of **₹38,000** is charged to profit or loss.

Why? – Simple explanation

NRV is what you can **really expect to keep** from selling: the selling price less whatever you still have to spend to finish and sell the goods.

Inventory must never be carried above what it can bring in. If NRV is lower than cost, the expected loss is booked now (prudence), not when the goods are finally sold.

Products A and C are fine or nearly fine; B and D are the problem. Each item is checked **separately** because a profit on A cannot cancel a loss on D.

Watch out – Common mistakes / Exam tip

- **Common mistake:** comparing total cost (₹5,60,000) with total NRV (₹5,34,000) gives a write-down of only ₹26,000, which understates the loss by ₹12,000. Ind AS 2 requires an item-by-item comparison (grouping is allowed only for similar or related items, such as one product line).
- Product A has a high NRV (₹1,32,000) but it is **never written up** above cost.
- Do not forget to deduct the cost of completion for partly finished items.

Q3. Scope and Definition – Is it inventory?

Level 1 · Single concept | 5 marks | Concepts tested: definition of inventories, scope exclusions, measurement exemptions, links to Ind AS 16, 41, 109, 115

PROBLEM

State whether each of the following is “inventory” to be accounted for under Ind AS 2. If not, name the standard that applies. Give a one-line reason.

No.	Item
1	Finished garments held by a garment manufacturer for sale
2	Packing material and lubricants in the store, to be consumed in production
3	Unsold flats held by a real-estate developer for sale in the ordinary course of business
4	A plot of land held by a manufacturing company for future factory expansion
5	Equity shares of listed companies held by a company as stock-in-trade for short-term trading
6	Standing sugarcane crop in the fields of a sugar company (not yet harvested)
7	Gold held by a commodity broker-trader who measures it at fair value less costs to sell
8	A major standby pump that a factory expects to use over more than one year
9	Goods sent on consignment to an agent that the agent has not yet sold
10	Work-in-progress on a building being constructed under a contract with a customer

SOLUTION

Definition (Ind AS 2): inventories are assets (a) held for sale in the ordinary course of business, (b) in the process of production for such sale, or (c) in the form of materials or supplies to be consumed in production or in rendering services.

No.	Ind AS 2 inventory?	Reason / applicable standard
1	Yes	Finished goods held for sale in the ordinary course.
2	Yes	Materials and supplies to be consumed in the production process.
3	Yes	The developer holds the flats for sale in the ordinary course of business.
4	No	Held for use in the business, so it is PPE (Ind AS 16) . If it were held only for capital appreciation, it would be investment property (Ind AS 40).
5	No	Financial instruments (Ind AS 32 / Ind AS 109) are excluded from Ind AS 2 entirely.
6	No	A growing crop is a biological asset (Ind AS 41) . Once harvested, the produce is measured at fair value less costs to sell at the point of harvest; that amount becomes its cost under Ind AS 2.
7	Within scope, but measurement rules do not apply	Commodity broker-traders measure at fair value less costs to sell , with changes recognised in profit or loss. Other Ind AS 2 requirements (such as disclosure) still apply.
8	No	A major spare expected to be used for more than one period is PPE (Ind AS 16) . Routine spares and consumables used within a year are inventory.
9	Yes (consignor's)	The goods remain the consignor's inventory until the agent sells them. The agent never owns them.
10	No (excluded)	Work-in-progress on construction contracts is excluded from Ind AS 2 and is dealt with under contract accounting (Ind AS 115).

Why? – Simple explanation

Ask two questions: **(i) Is it held to be sold or consumed within the normal operating cycle?** **(ii) Is another standard specially written for it?** If the answer to (i) is yes and (ii) is no, it is Ind AS 2 inventory.

Fully outside Ind AS 2: work-in-progress on construction contracts, financial instruments, and biological assets / agricultural produce at the point of harvest.

Inside Ind AS 2 but not its measurement rules: producers of agricultural, forest and mineral products (measured at NRV where that is established industry practice) and commodity broker-traders (fair value less costs to sell).

Watch out – Common mistakes / Exam tip

- The same physical item can be inventory for one company and PPE for another: cars are inventory for a dealer but PPE when used by sales staff.
- Do not confuse “spares”: routine spares are inventory; major/standby spares expected to last more than one year are PPE.

LEVEL 2 – TWO CONCEPTS COMBINED (Q4 to Q6)**Q4. Cost of Conversion and Normal Capacity**

Level 2 - Two concepts combined | 8 marks | Concepts tested: cost of conversion, fixed overhead at normal capacity, abnormal wastage, costs excluded, expense recognition

PROBLEM

Kiran Engineering Ltd. has a **normal capacity of 10,000 units** per year. In the year ended 31 March 2026 it produced **8,000 units** (low demand) and sold **6,000 units**. Costs incurred:

Particulars	₹
Direct materials (includes ₹40,000 of abnormal wastage due to a machine fault)	12,00,000
Direct labour	4,00,000
Variable production overheads	1,60,000
Fixed production overheads	3,00,000
General administrative overheads	1,00,000
Selling and distribution expenses	80,000

Required: (a) Cost per unit of finished goods. (b) Value of closing inventory and cost of goods sold. (c) Costs recognised immediately as expenses. (d) What changes if actual production had been 12,000 units?

SOLUTION**Step 1 – Absorb fixed overheads on the basis of normal capacity**

Fixed overhead per unit = ₹3,00,000 ÷ 10,000 units = **₹30**. Absorbed into inventory = 8,000 × ₹30 = **₹2,40,000**. The unabsorbed ₹60,000 (cost of idle capacity) is an expense of the period.

Step 2 – Remove abnormal wastage from materials**Step 3 – Cost of production**

Particulars	₹
Direct materials (12,00,000 – 40,000 abnormal wastage)	11,60,000
Direct labour	4,00,000
Variable production overheads	1,60,000
Fixed production overheads absorbed (8,000 × ₹30)	2,40,000
Total cost of production (8,000 units)	19,60,000
Cost per unit	245

Step 4 – Closing inventory and cost of goods sold

Closing inventory = 2,000 units × ₹245 = **₹4,90,000**. Cost of goods sold = 6,000 units × ₹245 = **₹14,70,000**.

Step 5 – Costs charged straight to profit or loss (part c)

Item	₹	Reason
Abnormal wastage	40,000	Abnormal waste cannot be recovered through selling price
Unabsorbed fixed overheads	60,000	Cost of unused capacity (8,000 vs 10,000 units)
General administrative overheads	1,00,000	Not related to bringing goods to present location and condition
Selling and distribution	80,000	Selling costs are period costs
Total	2,80,000	

Check – reconciliation of all costs

Total costs incurred (12,00,000 + 4,00,000 + 1,60,000 + 3,00,000 + 1,00,000 + 80,000)	22,40,000
Less: Closing inventory	(4,90,000)
Charged to profit or loss (COGS 14,70,000 + period costs 2,80,000)	17,50,000

Part (d) – production of 12,000 units (above normal capacity)

When production is **abnormally high**, fixed overhead per unit is **reduced** by spreading the actual fixed cost over actual output: ₹3,00,000 ÷ 12,000 = ₹25. This prevents inventory from being carried above actual cost.

Final answer

Cost per unit ₹245; closing inventory ₹4,90,000; COGS ₹14,70,000; immediate expenses ₹2,80,000.

Why? – Simple explanation

Inventory should carry only the costs that were **needed to make the goods**. Waste that should not have happened and capacity that was not used are not part of the goods' value; they are losses of the year.

If you spread fixed overheads over the 8,000 units actually made (₹37.50 per unit), each unit would look more expensive simply because the factory was under-used. Using normal capacity (10,000 units) avoids that distortion.

Watch out – Common mistakes / Exam tip

- Use **normal** capacity for absorption when actual output is **lower**; use **actual** output when it is **higher**.
- Do not include admin, selling or abnormal waste in inventory even though they are real costs.
- Always finish with a reconciliation like the one above: total costs = inventory + expenses.

Q5. NRV of Raw Materials, Replacement Cost and Reversal

Level 2 · Two concepts combined | 10 marks | Concepts tested: NRV of materials, replacement cost, write-down, reversal of write-down

PROBLEM

Fabric Ltd. holds **raw cotton** costing ₹6,00,000, which will be converted into fabric. The conversion cost still to be incurred is ₹2,00,000 and selling costs on the fabric will be ₹30,000. At 31 March 2026 the **replacement cost of the cotton is ₹5,70,000**.

Required: How should the cotton be valued at 31 March 2026 if the expected selling price of the fabric is (a) ₹9,00,000 and (b) ₹8,00,000? (c) At 31 March 2027 the cotton is still unused and the fabric price has recovered to ₹9,00,000. What is the accounting treatment?

SOLUTION

Key idea: raw materials are not tested on their own. We test the **finished product** they will become. If the finished product will still be sold for more than its cost, the materials stay at cost.

(a) Selling price of fabric ₹9,00,000

Particulars	₹
Cost of fabric = cotton 6,00,000 + conversion 2,00,000	8,00,000
NRV of fabric = 9,00,000 – selling costs 30,000	8,70,000
NRV of fabric is higher than its cost, so no write-down	
Cotton carried at	6,00,000

Even though the replacement cost (₹5,70,000) is lower than cost, **no write-down** is needed because the fabric will still sell above cost.

(b) Selling price of fabric ₹8,00,000

Particulars	₹
Cost of fabric	8,00,000
NRV of fabric = 8,00,000 – 30,000	7,70,000
NRV of fabric is below its cost, so write the cotton down	
NRV of cotton = 7,70,000 – conversion cost 2,00,000	5,70,000
Replacement cost (best available measure of NRV of materials)	5,70,000
Write-down = 6,00,000 – 5,70,000	30,000
Cotton carried at	5,70,000

Particulars	Dr (₹)	Cr (₹)
Inventory write-down (Profit & Loss) A/c	30,000	
To Inventories – raw cotton A/c		30,000

(c) Recovery at 31 March 2027

The reason for the write-down no longer exists: NRV of fabric = 9,00,000 – 30,000 = ₹8,70,000, which is above cost ₹8,00,000. The write-down is **reversed**, but only up to the original write-down.

Particulars	Dr (₹)	Cr (₹)
Inventories – raw cotton A/c	30,000	
To Inventory write-down reversal (reduction in cost of materials consumed) A/c		30,000

Cotton is carried again at **₹6,00,000** (its original cost). It cannot go higher even if its replacement cost has risen further.

Final answer

(a) Cotton at cost **₹6,00,000**. (b) Written down to **₹5,70,000** (write-down ₹30,000). (c) Write-down of ₹30,000 reversed; carrying amount back to **₹6,00,000**.

Why? – Simple explanation

Materials are only a stepping stone. If the fabric is expected to sell for more than its total cost, nothing has been lost, so the cotton stays at cost even if the raw cotton price has fallen.

When a fall in materials price shows that the fabric will sell below cost, we expect a loss and book it now. Replacement cost is often the best estimate of the NRV of materials; here it agrees with the calculated NRV (₹5,70,000).

Ind AS 2 requires a fresh NRV assessment each period. If the reason for a write-down disappears, we reverse it, but never above original cost, otherwise we would be recognising an unrealised profit.

Watch out – Common mistakes / Exam tip

- The reversal is credited to profit or loss as a **reduction** in the amount of inventories recognised as an expense.
- If the question gives you a replacement cost, use it for materials. If not, derive NRV by working backwards from the finished product as shown above.
- Reversals and write-downs must both be disclosed (see Q10).

Q6. Deferred Settlement Terms and Cost of Purchase

Level 2 • Two concepts combined | **10 marks** | Concepts tested: inventory bought on extended credit, interest element, cost of purchase, journal entries

PROBLEM

On **1 October 2025** Delta Ltd. bought 500 units of goods from a foreign supplier. The invoice price is **₹11,00,000**, payable on **30 September 2026** (12 months' credit). The price the supplier would have charged for payment within the **normal credit period of 60 days** is **₹10,00,000**. Delta also paid ₹20,000 freight and ₹50,000 non-refundable import duty in cash on 1 October. All goods were unsold at 31 March 2026.

Required: (a) Cost of inventories. (b) Journal entries on 1 October 2025, 31 March 2026 and 30 September 2026. (c) Trade payable shown at 31 March 2026. (Spread the interest evenly over the credit period.)

SOLUTION

Step 1 – Separate the price into “goods” and “interest”

Particulars	₹
Amount payable after 12 months	11,00,000
Price on normal credit terms (cost of goods)	10,00,000
Difference = interest for financing 12 months	1,00,000

Step 2 – Cost of inventories

Particulars	₹
Price on normal credit terms	10,00,000
Freight	20,000
Non-refundable import duty	50,000
Cost of inventories	10,70,000

Step 3 – Journal entries (interest of ₹1,00,000 ÷ 12 months = ₹8,333 per month; 6 months = ₹50,000)

Particulars	Dr (₹)	Cr (₹)
1 October 2025		
Inventories A/c	10,70,000	
To Trade payable A/c (at price on normal credit terms)		10,00,000
To Bank A/c (freight + duty)		70,000
31 March 2026		
Finance cost (Profit & Loss) A/c	50,000	
To Trade payable A/c (interest accrued for 6 months)		50,000
30 September 2026		
Finance cost (Profit & Loss) A/c	50,000	
To Trade payable A/c (interest for last 6 months)		50,000
Trade payable A/c	11,00,000	
To Bank A/c (settlement)		11,00,000

Trade payable at 31 March 2026 = 10,00,000 + 50,000 = **₹10,50,000**.

Final answer

Cost of inventories = **₹10,70,000**. The extra ₹1,00,000 is interest expense (finance cost), recognised over the credit period, **not** part of inventory cost.

Why? – Simple explanation

A supplier who gives you 12 months to pay is really **lending** you money. The extra price is the cost of that loan, so it is interest, not the cost of the goods.

Inventory should reflect what the goods would cost if paid for normally. The financing cost belongs in the finance cost line of the profit and loss account.

Watch out – Common mistakes / Exam tip

- Where the effective interest method is required (long credit periods), interest is calculated on the outstanding balance at the effective rate. The straight-line spread here is a simplification stated in the question.
- If the goods are sold before the payable is settled, cost of goods sold still includes only ₹10,70,000; interest continues as finance cost.

LEVEL 3 – MULTI-CONCEPT, EXAM PATTERN (Q7 to Q10)**Q7. Joint Products, By-product and Closing Inventory**

Level 3 · Multi-concept (exam pattern) | 15 marks | Concepts tested: joint cost allocation on NRV, by-product credit, further processing, closing inventory, NRV test

PROBLEM

Process 1 of Bharat Chemicals Ltd. produces two joint products **P** and **Q** and a by-product **B** from one input. **Joint cost of Process 1 is ₹5,08,000.**

Product	Output (kg)	Selling price (₹/kg)	Further processing after split-off	Selling cost (₹/kg)	Units sold in the year
P	4,000	130 (sold as it is)	None	10	3,000 kg
Q	2,000	220 (after processing)	₹50 per kg	10	1,500 kg
B (by-product)	1,000	10	None	2	1,000 kg

The company credits the NRV of the by-product to the joint cost and apportions the remaining joint cost between P and Q on the basis of **NRV at the split-off point**.

Required: (a) [8 marks] Allocate the joint cost. (b) [7 marks] Compute closing inventory of P and Q, cost of goods sold, and confirm inventory is not above NRV.

SOLUTION**(a) Allocation of joint cost****Step 1 – NRV of the by-product is deducted from the joint cost**

NRV of B = 1,000 kg × (10 – 2) = **₹8,000**. Joint cost to be shared = 5,08,000 – 8,000 = **₹5,00,000**.

Step 2 – NRV at the split-off point (selling price – further processing – selling costs)

	Product P	Product Q
Selling price per kg	130	220
Less: further processing per kg	—	(50)
Less: selling cost per kg	(10)	(10)
NRV at split-off per kg	120	160
Output (kg)	4,000	2,000
NRV at split-off (₹)	4,80,000	3,20,000
Share of total NRV (₹8,00,000)	60%	40%

Step 3 – Apportion the joint cost of ₹5,00,000

	Product P	Product Q	Total
Joint cost allocated	3,00,000	2,00,000	5,00,000
Joint cost per kg	75	100	
Further processing (2,000 kg × ₹50)	—	1,00,000	1,00,000
Total cost of finished output	3,00,000	3,00,000	6,00,000
Cost per kg	75	150	

Check: 3,00,000 + 2,00,000 + 8,000 (by-product) = ₹5,08,000 = joint cost.

(b) Closing inventory and cost of goods sold

	Product P	Product Q
Output (kg)	4,000	2,000
Sold (kg)	3,000	1,500
Closing inventory (kg)	1,000	500
Cost per kg (₹)	75	150
Closing inventory at cost (₹)	75,000	75,000
NRV per kg (selling price – selling cost)	120	210
NRV of closing inventory (₹)	1,20,000	1,05,000
Closing inventory (lower of cost and NRV) (₹)	75,000	75,000
Cost of goods sold (₹)	2,25,000	2,25,000

Cost is lower than NRV for both products, so **no write-down** is needed. Total closing inventory = ₹1,50,000; total cost of goods sold = ₹4,50,000.

Check: total cost put into the process = 5,08,000 + 1,00,000 = 6,08,000. Less by-product NRV 8,000 = 6,00,000 = closing inventory 1,50,000 + cost of goods sold 4,50,000. ✓

Final answer

Joint cost allocated: **P ₹3,00,000, Q ₹2,00,000**. Cost per kg: **P ₹75, Q ₹150** (including ₹50 processing). Closing inventory **₹1,50,000**; cost of goods sold **₹4,50,000**.

Why? – Simple explanation

Joint products come out of the same process, so their costs cannot be separated by observation. We share the common cost in proportion to what each product can earn.

Q needs more processing before sale, so using the raw selling price would overstate its share. We therefore work out a **“hypothetical NRV at split-off”** by removing the further processing and selling costs.

The **by-product** is minor. Its NRV is simply subtracted from the joint cost so the main products carry only the net cost.

Watch out – Common mistakes / Exam tip

- Further processing cost of Q is added **after** allocating the joint cost. It is not part of the joint cost.
- Always run the NRV test at the end; a sudden price fall could force a write-down.
- Marks split: 8 for allocation, 7 for closing inventory and COGS.

Q8. Stock Count After the Year-end – Working Back to 31 March

Level 3 • Multi-concept (exam pattern) | 15 marks | Concepts tested: stock count date adjustment, ownership of goods, cut-off, goods in transit, sale or return, consignment, NRV

PROBLEM

Mehta Stores Ltd. has a year-end of 31 March 2026 but counted its stock only on **10 April 2026**. The count, valued at cost, was **₹18,50,000**. The following information is available:

No.	Information
1	Sales from 1 to 10 April 2026 were ₹6,00,000. The company earns a gross profit of 25% on sales.
2	Purchases received from 1 to 10 April were ₹2,40,000 at cost. Of these, ₹1,50,000 were goods dispatched by the supplier on 28 March on FOB shipping-point terms (ownership passed to Mehta on dispatch).
3	Goods costing ₹80,000 were sent to a customer on sale-or-return on 20 March. The customer accepted them on 15 April.
4	The count included goods worth ₹1,20,000 held on consignment for another company.
5	The count included goods with a cost of ₹1,00,000 that were damaged before 31 March. They can be sold for ₹60,000 after repairs of ₹15,000, with selling costs of ₹5,000.

Required: (a) [5 marks] Adjust the count for movements between 1 April and the count date. (b) [5 marks] Adjust for ownership. (c) [5 marks] Apply the NRV test and state inventory to be shown at 31 March 2026.

SOLUTION

(a) Roll back from 10 April to 31 March

Particulars	₹
Stock counted on 10 April at cost	18,50,000
Less: purchases received 1–10 April (were not in stock on 31 March)	(2,40,000)
Add: cost of goods sold 1–10 April (6,00,000 × 75%) (were in stock on 31 March)	4,50,000
Add: goods in transit on 31 March owned by Mehta (part of purchases removed above)	1,50,000
Stock at 31 March at cost, before ownership adjustments	22,10,000

(b) Ownership adjustments

Particulars	₹
Stock at 31 March, before ownership adjustments	22,10,000
Add: goods with customer on sale-or-return (not yet accepted, still Mehta's)	80,000
Less: consignment stock held for another company (not Mehta's)	(1,20,000)
Stock at 31 March at cost, owned by Mehta	21,70,000

(c) NRV of damaged goods

Particulars	₹
Cost of damaged goods	1,00,000
Expected selling price	60,000
Less: repairs 15,000 and selling costs 5,000	(20,000)
NRV	40,000
Write-down (cost 1,00,000 – NRV 40,000)	60,000
Inventory to be shown at 31 March 2026 (₹21,70,000 – ₹60,000)	21,10,000

Final answer

Inventory at 31 March 2026 = **₹21,10,000**, after a write-down of ₹60,000 on damaged goods.

Why? – Simple explanation

The balance sheet needs inventory **as on 31 March**, so we undo everything that happened between 31 March and the count day: April purchases must come out and April sales (at cost) must go back in.

Ownership is decided by **who controls the goods**, not where they are. Goods in transit that already belong to you are your inventory; goods on sale-or-return remain yours until the customer accepts; consignment goods belong to the consignor.

The profit margin is removed from sales ($₹6,00,000 \times 75\%$) because inventory is recorded at cost, not at selling price.

Watch out – Common mistakes / Exam tip

- The ₹1,50,000 in transit is first removed with April purchases and then added back. Missing this second step is the most common error.
- Do not add profit to sale-or-return goods; they go back at cost.
- Damaged goods are valued at NRV (after repair and selling costs), not at the expected selling price.

Q9. Retail Method, Standard Cost and Service Providers

Level 3 · Multi-concept (exam pattern) | 15 marks | Concepts tested: cost measurement techniques: retail method, standard cost, variances, inventories of service providers

PROBLEM

(a) Retail method [5 marks]

A departmental store sells goods at uniform gross margin. Data for the year:

Particulars	Cost (₹)	Retail price (₹)
Opening inventory	2,00,000	2,50,000
Purchases	11,60,000	15,00,000
Net mark-downs (reduce selling prices of goods still on hand)		50,000
Sales for the year		14,00,000

Find closing inventory at cost and cost of goods sold.

(b) Standard cost [5 marks]

Neel Manufacturing values inventory at a **standard cost of ₹80 per unit**. In the year it produced 10,000 units at an actual cost of ₹8,60,000. The adverse variance of ₹60,000 comprises ₹20,000 due to abnormal idle time after a machine breakdown and ₹40,000 due to normal fluctuations in prices and efficiency. It sold 7,000 units, with 3,000 units in closing stock. Find the value of closing inventory and cost of goods sold.

(c) Inventories of a service provider [5 marks]

A consulting firm has incomplete assignments at year-end (unbilled work-in-progress). Costs: salaries of consultants directly working on the assignments ₹3,00,000; salary of their supervising manager ₹40,000; share of office rent and utilities attributable to the assignments ₹30,000; expected profit margin on the assignments ₹1,00,000; business development and general administration costs ₹50,000. Find the cost of the work-in-progress.

SOLUTION

(a) Retail method

Particulars	Cost (₹)	Retail (₹)
Opening inventory	2,00,000	2,50,000
Add: purchases	11,60,000	15,00,000
Less: net mark-downs		(50,000)
Goods available for sale	13,60,000	17,00,000
Less: sales		(14,00,000)
Closing inventory at retail price		3,00,000

Cost-to-retail ratio = $13,60,000 \div 17,00,000 = 80\%$. Closing inventory at cost = $3,00,000 \times 80\% = \text{₹}2,40,000$. Cost of goods sold = $13,60,000 - 2,40,000 = \text{₹}11,20,000$ (= sales $14,00,000 \times 80\%$).

(b) Standard cost

Particulars	Units	₹
Actual cost of production	10,000	8,60,000
Standard cost (10,000 × ₹80)		8,00,000
Total adverse variance		60,000
Abnormal variance (idle time) – charged to profit or loss		20,000
Normal variance – spread over units produced		40,000
to closing stock: $40,000 \times 3,000 \div 10,000$	3,000	12,000
to units sold: $40,000 \times 7,000 \div 10,000$	7,000	28,000

	Closing inventory (₹)	Cost of goods sold (₹)
At standard cost	2,40,000	5,60,000
Add: share of normal variance	12,000	28,000
Value	2,52,000	5,88,000

Check: $2,52,000 + 5,88,000 + \text{abnormal } 20,000 = ₹8,60,000 = \text{actual cost}$. Closing inventory per unit = ₹84, which equals actual cost excluding abnormal idle time ($8,40,000 \div 10,000$).

(c) Service provider

Particulars	₹	Treatment
Salaries of consultants directly engaged	3,00,000	Included
Salary of supervising manager	40,000	Included (supervisory personnel)
Attributable overheads (rent, utilities)	30,000	Included
Cost of work-in-progress	3,70,000	
Profit margin	1,00,000	Excluded – not a cost
Business development and general administration	50,000	Excluded – expense in the period

Final answer

(a) Closing inventory ₹2,40,000, COGS ₹11,20,000. (b) Closing inventory ₹2,52,000, COGS ₹5,88,000, ₹20,000 to profit or loss. (c) Work-in-progress ₹3,70,000.

Why? – Simple explanation

Retail method is a shortcut for stores with thousands of items: value closing stock at selling price and convert it to cost with the cost-to-retail percentage. Mark-downs are taken into account so inventory is not overstated.

Standard cost is acceptable only if it is close to actual cost. If actual cost differs, normal variances are shared between inventory and cost of goods sold, while abnormal losses go straight to profit or loss.

Service providers treat unbilled work as inventory at cost of the people directly involved plus attributable overheads. They do not add profit or general administration.

Watch out – Common mistakes / Exam tip

- Retail method: the percentage must reflect the mark-downs; do not use the original selling prices.
- Standard costs must be regularly reviewed; a stale standard gives a wrong inventory value.
- Where a service contract falls under Ind AS 115, contract costs are also assessed under that standard. The cost-inclusion principles above are what Ind AS 2 tests.

Q10. Expense Recognition, Write-down, Reversal and Disclosure

Level 3 · Multi-concept (exam pattern) | 15 marks | Concepts tested: inventories recognised as expense, write-down, reversal, transfer to PPE, classification, disclosure note

PROBLEM

Trendy Textiles Ltd. provides the following information for the year ended **31 March 2026**:

No.	Information
1	Opening inventories (carrying amount): raw materials ₹2,00,000; work-in-progress ₹1,50,000; finished goods ₹3,50,000; stores and spares ₹1,00,000. The finished goods include items with cost ₹1,00,000 which were written down by ₹25,000 in the previous year (carried at ₹75,000).
2	Purchases: raw materials ₹24,00,000; stores ₹3,00,000. Conversion costs absorbed during the year: ₹10,00,000.
3	Raw materials costing ₹1,20,000 were used to construct the company's own storage shed (capitalised as PPE).
4	Closing inventories at cost: raw materials ₹3,00,000; work-in-progress ₹2,00,000; finished goods ₹4,50,000; stores and spares ₹1,50,000 (total ₹11,00,000).
5	The closing finished goods include (i) the items mentioned in 1, now with NRV ₹1,10,000 (cost ₹1,00,000) and (ii) obsolete goods with cost ₹1,00,000 and NRV ₹60,000.
6	Inventories with a carrying amount of ₹6,00,000 are pledged as security for a working-capital loan.

Required: (a) [5 marks] Amount of inventories recognised as an expense. (b) [5 marks] Journal entries for the write-down, the reversal and the transfer to PPE. (c) [5 marks] The inventories note as per Ind AS 2.

SOLUTION**(a) Inventories recognised as an expense****Step 1 – Closing inventory at carrying amount**

Particulars	₹
Closing inventories at cost	11,00,000
Less: write-down of obsolete goods (1,00,000 – 60,000)	(40,000)
Items previously written down: NRV 1,10,000 > cost, so carried at cost (reversal of ₹25,000 is captured in closing at cost)	
Closing inventories at carrying amount	10,60,000

Step 2 – Amount recognised as expense

Particulars	₹
Opening inventories (carrying amount)	8,00,000
Add: purchases – raw materials	24,00,000
Add: purchases – stores	3,00,000
Add: conversion costs	10,00,000
Total available	45,00,000
Less: materials transferred to PPE (not an expense)	(1,20,000)
Less: closing inventories at carrying amount	(10,60,000)
Inventories recognised as expense	33,20,000

Split for disclosure: the opening inventory at cost was ₹8,25,000 (₹8,00,000 + ₹25,000 earlier write-down). Cost of inventories consumed or sold = 8,25,000 + 24,00,000 + 3,00,000 + 10,00,000 – 1,20,000 – 11,00,000 = **₹33,05,000**. Add write-down ₹40,000; deduct reversal ₹25,000. Net expense = 33,05,000 + 40,000 – 25,000 = **₹33,20,000 ✓**.

(b) Journal entries

Particulars	Dr (₹)	Cr (₹)
Inventory write-down (Profit & Loss) A/c	40,000	
To Inventories – finished goods A/c		40,000
<i>(Being obsolete goods written down to NRV)</i>		
Inventories – finished goods A/c	25,000	
To Reversal of inventory write-down A/c (reduction in expense)		25,000
<i>(Being earlier write-down reversed as NRV of the items has recovered above cost; limited to original write-down)</i>		
Capital work-in-progress / PPE A/c	1,20,000	
To Raw materials consumed A/c		1,20,000
<i>(Being materials used in own construction capitalised; not an expense)</i>		

(c) Disclosure note – Inventories

Inventories (lower of cost and NRV)	31 March 2026 (₹)	1 April 2025 (₹)
Raw materials	3,00,000	2,00,000
Work-in-progress	2,00,000	1,50,000
Finished goods	4,10,000	3,50,000
Stores and spares	1,50,000	1,00,000
Total	10,60,000	8,00,000

Other disclosures required by Ind AS 2 (write these in the note)

- **Accounting policy:** inventories are valued at the lower of cost and NRV; the cost formula used (for example FIFO or weighted average) is stated.
- **Inventories carried at fair value less costs to sell:** Nil (not applicable).
- **Amount recognised as expense** during the year: ₹33,20,000, comprising cost of inventories consumed or sold ₹33,05,000 and write-down of ₹40,000, net of reversal of ₹25,000.
- **Write-down** recognised as expense: ₹40,000 (obsolete finished goods).
- **Reversal** of earlier write-down: ₹25,000, because the market price of the finished goods recovered and NRV rose above cost.
- **Inventories pledged** as security for liabilities: carrying amount ₹6,00,000.

Final answer

Inventories recognised as expense **₹33,20,000** (consumed/sold ₹33,05,000 + write-down ₹40,000 – reversal ₹25,000). Closing inventories **₹10,60,000**.

Why? – Simple explanation

Every rupee that passes through inventory must end up in one of three places: **closing inventory, an expense or another asset** (like PPE). The formula above simply shows where each rupee went.

Write-downs increase the expense; reversals reduce it. Materials used to build your own shed are not an expense because they became part of a **different asset**.

The note tells readers how inventories are valued, how much there is of each type, how much was written down and reversed, and how much is pledged.

Watch out – Common mistakes / Exam tip

- A reversal is limited to the original write-down, so the carrying amount never exceeds cost.
- Show write-downs and reversals separately in the note; do not net them silently.
- Schedule III to the Companies Act, 2013 requires the balance sheet to classify inventories as raw materials, work-in-progress, finished goods, stock-in-trade, stores and spares, loose tools and others, with goods-in-transit shown separately.